CHANGES TO PAYE RETURN FORM FOLLOWING THE INCOME TAX (AMENDMENT) ACT, 2026

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Uganda Revenue Authority (URA) informs the general public that following the **Income Tax (Amendment) Act 2026,** the income tax rate for resident individuals has been updated in the PAYE return to reflect the effective date of the new rate from 1st July 2026 as below:

Monthly Chargeable Income	Rate of tax for Resident individuals
0 – 335,000	Nil
335,001 – 410,000	20% x (Chargeable income – 335,000)
410,001 – 485,000	15,000 + 25% x (Chargeable income – 410,000)
485,001 – 10,000,000	33,750 + 30% x (Chargeable income – 485,000)
Above 10,000,000	33,750 + 30% x (Chargeable income – 485,000) + 10% x (Chargeable income – 10,000,000)

Implication of the change:

1. Where the PAYE return for the month of July 2026 or August 2026 was declared prior to the update, the employer is advised to amend the affected returns to declare the correct tax;

2. To amend the return(s), download a new PAYE return template from the URA portal;
3. Any credit that may arise from the amendment will be available to the employer to be utilised in the subsequent PAYE return;
4. Employers are obliged to refund the overpaid tax to the affected employees, which may be through adjustment to the subsequent payroll.

Illustration

The employee's salary for July 2026 is UGX 500,000, and the employer declared it using the old rate is affected as below:

Tax Deducted based on old rate	Tax based on new rate	Overpaid Tax
25,000 + 30% x (500,000-410,000) = **52,000**	33,750 + 30% x (500,000-485,000) = **38,250**	**UGX 13,750**

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